INTERNATIONALIZATION OF FIRMS

En este trabajo se examina la teoría de la internacionalización de empresas, mostrando diferentes estrategias de entrada a nuevos mercados; definiendo y explicando la importancia de las competencias interculturales y su importancia en el proceso de internacionalización de empresas. Por otra parte se examina el contexto de Latinoamérica desde el punto de vista del comercio, geopolítico y de diversificación de sus mercados. Finalmente se termina estudiando un ejemplo practico: Grupo Ferrocarril y su internacionalización (Chile).

Models of internationalization; Intercultural competences; Latin America; The case of Ferrovial Group in Chile.

Introduction.

In an era characterized by unprecedented global connectivity, the pursuit of internationalization has become a strategic imperative for organizations seeking sustained growth and relevance. This paper embarks on a comprehensive journey though the intricate web of theories and models underpinning internationalization internationalization, exploring the dynamic landscape where economic, political, and cultural forces converge. This paper is going to be organized in four different chapters: In chapter one we delve into stablished models of internationalism of firms such us the Uppsala Model and contemporary theories like the International Product Life Cycle (IPLC), and the Eclectic Paradigm (OLI model) unraveling the theoretical tapestry that guides organizations in their expansion beyond domestic markets. As we move into chapter two, we see how the transformation of cultural competences places itself as a key role in the internationalization of companies in a world where global success depends not only on economic performance but also nuanced cultural understanding. Our exploration escalates in chapter three, as we focus our study on a specific region: Latin America. Here we are going to analyze the unique challenges and opportunities present in the region, setting the stage for our chapter four. Finally, we conclude with chapter four. In this chapter we set our gaze in a specific case. We zoom in on the Ferrovial Group´s foray into the Chilean market, studying how this multinational corporation organizes its intercultural skills to overcome the difficulties of the internationalization process. This study aims to add to the growing body of knowledge on international business by skillfully integrating theory and practice.

Chapter I

Internationalization is a multifaceted and dynamic process that extends far beyond geographic boundaries, encompassing the intricate strategies and activities through which entities, particularly firms, engage on a global scale. In the context of firms, internationalization represents a strategic imperative driven by pursuit of expanded market presence, diversification of revenue streams and the increase of overall competitiveness. This intricate journey unfolds through a series of deliberate steps, the first of which involves comprehensive market research to gain profound insights into the complexities of foreign markets. This necessitates a deep understanding of consumer behavior, market trends, competitive landscapes and the regulatory framework that shapes each international environment.

Adaptation becomes a cornerstone of the internationalization process for firms. To resonate with diverse international audiences, the companies must adapt their products, services, and business activities to align with those singularities of each different market. This requires more than a superficial adjustment; this needs a deep understanding of cultural nuances, ensuring that offering is not only relevant but also resonate with the cultural fabric of the target audience. Cultural sensitivity becomes a necessary competency, as firms navigate the diverse landscapes of the global markets, recognizing success hinges on their ability to bridge cultural gaps and build rapport with consumers from varying backgrounds.

Formulating a comprehensive global business strategy is imperative if success is wanted. This involves critical decisions on market entry modes, risk management strategies and compliance with the legal and regulatory frameworks that govern the international commerce. Market entry options range from joints ventures to licensing. Each strategy has its own advantages and risks. Risk management takes center stage as companies grapple with problems like pollical instability, currency fluctuations, geopolitical tensions, or natural disasters that could have an impact on the devolvement of these global operations. Compliance with varying legal and regulatory frameworks demands high levels of attention, requiring companies to cruise through a complex web of rules and norms in each unique jurisdiction.

As firms embark on the process of internationalization, they must deal with a set of operational challenges. Logistics and supply chain management become critical components of success for firms, necessitating the devolvement of strong infrastructures enable seamlessly managing the complexity of global supply chains. Distribution networks must be optimized to meet the demands of the costumers worldwide. Operational efficiency becomes a competitive advantage, prompting companies to invest in technologies that enhances productivity. Firms also need to cultivate an internal culture that embraces agility, adaptability, and a global mindset, ensuring that teams can navigate the challenges and complexities of international markets efficiently.

Building and nurturing relation with local stakeholders seems like an imperative, strong connections with customers, suppliers, and government entities in each market help not only to operational efficiency but also establishment of trust. Fostering trust becomes an important comparative advantage in international markets, where personal relationships often play a crucial role in commercial transaction.

The technological dimension is pivotal in the internationalization of companies. Leveraging digital platforms becomes imperative for communication, data management, and e-commerce on a global scale. The arrival of technologies like blockchain, AI, VR, etc. introduces new challenges but anyhow it brings us a new horizon of possibilities and opportunities in the landscape of international business. Firms must be updated on technological advances that could impact their operations, embracing innovation as a mean of gaining a competitive edge in various markets. Technology not only allows and facilitates the flow of information and knowledge but enables firms to adapt their business models to evolve as the needs of their customers.

Globalization and internationalization present ethical consideration for firms. Operating in different markets require companies to be aware of the ethical challenges related to cultural differences, social norms, and corporate social responsibility. Ethical business practices become essential not only for compliance with the international standards but its key for the creation of a positive brand image and brand recognition in different contexts. Companies need to develop moral and ethical structure that escort decision-making and ensures responsible business conduct across a spectrum of international business.

In essence, the internationalization of firms is a comprehensive and multifaceted process that is more than just the mere expansion of the market reach. It demands a strategy, adaptability, technological acumen and cultural sensitivity. As firms navigate the complexities of global markets, the successful execution of internationalization strategies can yield not only financial rewards but also foster a broader understanding

and appreciation of diverse cultures and perspectives in an interconnected world. Beyond economic considerations, collaboration, and the creation of a global business ecosystem that thrives on diversity and innovation.

During the last decades, as the world has become more and more globalize, various models and theories have been developed to understand and explain the dynamics of internationalization. There are many strategies to entry new markets, depending on the context of the firm the approach to the internationalization is going to favor one strategy over the other. One of the keys to success in international business is the management of these strategies.

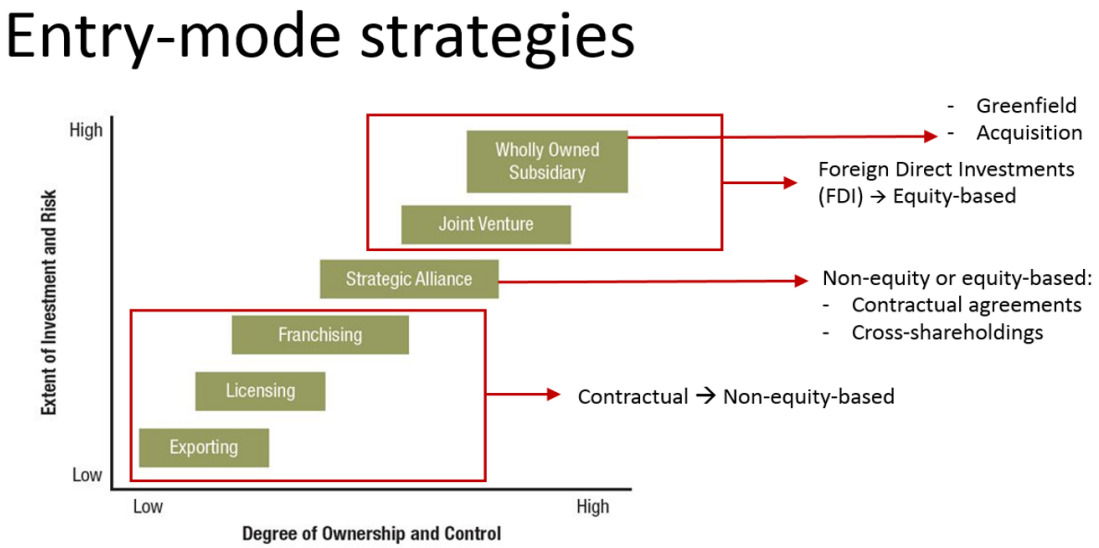


Figure 1: (Entry strategies for international markets., 1994)

Uppsala Model

The Uppsala Internationalization Model, introduced in in 1977 by Johanson, Jan & Vahlne, Jan-Erik in their seminal paper **THE INTERNATIONALIZATION PROCESS OF THE FIRM: A MODEL OF KNOWLEDGE DEVELOPMENT AND INCREASING FOREIGN MARKET COMMITMENTS,** *PUBLISHED IN THE JOURNAL OF INTERNATIONAL BUSINESS STUDIES. THIS PAPER HAS HAD A SIGNIFICANT IMPACT IN THE FIELD OF INTERNATIONAL BUSINESS AND REMAINS FUNDAMENTAL FOR THE UNDERSTANDING OF HOW FIRMS EXPAND GLOBALLY. THIS MODEL SEEKS TO EXPLAIN THE INCREMENTAL AND EXPERIMENTAL NATURE OF INTERNATIONALIZATION WITH AN EMPHASIS ON THE IMPORTANCE OF LEARNING AND COMMITMENT IN THE FOREIGN COUNTRY.*

DUE TO THE LIMITATIONS PRESENTED BY THE TRADITIONAL TRADE THEORIES, WHICH PREDOMINANTLY FOCUSED ON EXPLAINING THE PATTERN OF INTERNATIONAL TRADE BUT FELL SHORT IN EXPLAINING THE PROCESS BY WHICH FIRMS INTERNATIONALIZE, THE UPPSALA MODEL EMERGED AS A RESPONSE. THE MODEL SHIFTED THE FOCUS FROM MARKET CONDITIONS TO THE FIRM´S CAPABILITIES AND LEARNING PROCESSES.

- **Stages of internationalization:**

1. **No Regular Export Activities (stage 0):**

   At the initial stage, firms operate solely in their domestic market. International activities are rarely executed, and usually are caused by ad-hoc opportunities rather than systematically planned. The firm has little to no knowledge about foreign markets and low commitment.

2. **Export via Independent Representatives (stage 1):**
   The second stage involves the export of products through independent representatives such as agents or distributors. This step means an increase in the commitment even if still low as well as a knowledge increase, the firm starts learning about foreign markets demands and dynamics.

3. **Establishment of Sales Subsidiaries (Stage 2):**
   As the firm gains more experience and accumulates knowledge, it may decide to stablish sales subsidiaries in foreign markets. Now the level of commitment has increased significantly, and the understanding of the foreign market is much deeper.

4. **Product Abroad (Stage 3):**
   The fourth stage involves the establishment of production facilities in foreign countries. At this point the level of commitment and knowledge is such that the company is looking forward becoming a local player itself rather than just an exporter.

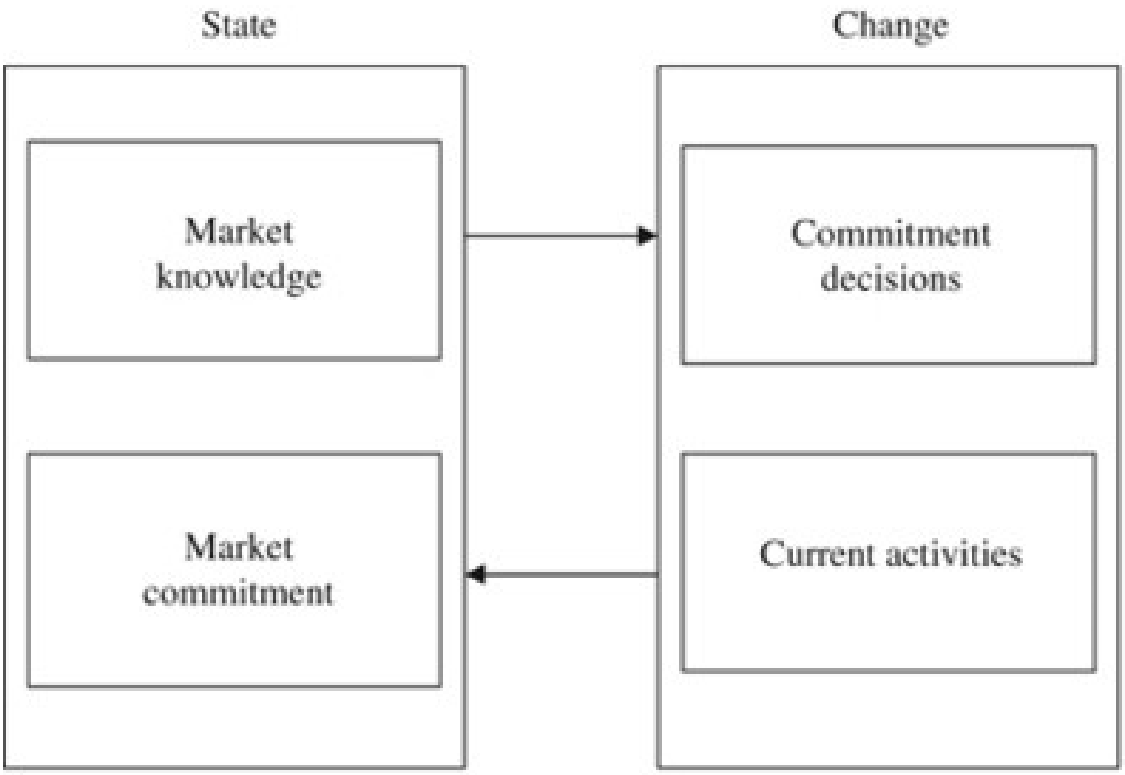


Figure 2: (Johanson, 1977)

The Role of Learning and Commitment:

- **Learning process**
  The Uppsala Model places a strong emphasis on the experiential learning process. Firms acquire knowledge about foreign markets, cultural nuances, costumer preferences, and the intricacies of doing business globally as firms engage in international activities. The firms accumulate knowledge as they experience those activities.
- **Commitment**
  The Uppsala Model understands Commitment as the level of resources, investment, and engagement a company dedicates to a foreign market. Commitment, as knowledge, increases as the firm gets more experienced and confident in a particular market. Higher levels of commitment are associated to later stages of internationalization.

The Uppsala Model as a Dynamic Process:

The model vies internationalization as a dynamic and evolving process. The decision to enter a new market is a series of incremental steps driven by the firms increasing knowledge and commitment rather than a one-time event. The model is aware of the risks and uncertainties that are inherent in the process of internationalization, and firms adapt a cautious approach to it by gradually entering the new market instead of doing it directly all at once.

The International Product Life Cycle Model:

During the 1960s, Raymond Vernon revolutionized the field of international business studies with ***International Investment and International Trade in the Product Cycle,*** changing the understanding of international trade and the globalization of industries. He introduced the Product Life Cycle Model, proposing a dynamic approach to the relation between innovation, *PRODUCTION, AND INTERNATIONAL TRADE, CHANGING THE GENERAL VIEW ON THIS TOPIC OF ECONOMISTS.*

EXISTING THEORIES AT THAT TIME, SUCH AS THE HECKSCHER-OHLIN MODEL AND COMPARATIVE ADVANTAGE, STRUGGLED TO EXPLAIN PHENOMENA LIKE DEVELOPED COUNTRIES BOTH EXPORTING AND IMPORTING SIMILAR GOODS. VERNON´S MODEL ADDRESSED THESE ISSUES DEVELOPING A MODEL THAT INCORPORATED THE DYNAMIC NATURE OF PRODUCTS AND THE CHANGING COMPARATIVE ADVANTAGE OF NATIONS OVERTIME.

IPLC MODEL:

1. **Stages of the Product life Cycle:**
   This model identifies three different stages in the product´s life cycle:
   -New Product: Everything Begins with the introduction of the product. During this stage, the products is often manufactured in the home country where the innovation is originated. The proximity to the innovating firm is due to the uncertainties associated with new products.
   -Maturing Product: The products begin to expand to other countries as it matures and earns a market acceptance. During this phase, firms relocate the production to economies with lower cost of production ans potentially larger markets. The expansion is driven by the desire of economies of scale and a presence in emerging markets.
   -Standardized Product: The product standardizes itself, the production concentrates in the most cost-effective locations. As the production shifts lower labor cost and production cost economies, the innovating country may even see itself becoming an importer rather than the exporter.

2. **Standardized Trade Implications:**
   The IPLC model has implication in trade patterns, at the beginning, the innovating country is likely to be a net exporter, as it has a competitive advantage over the others. But as the product matures, there may be a transition from an exporter to an importer as the production relocates to other locations.
3. **Investment and Technology Transfer:**
   One of the key factors presented by the IPLC model is the role of international investment as a driver of the global shift in production. During the later phases of the product life cycle, firms invest in foreign countries as they stablish production facilities. This may cause a transfer of technology and knowledge as well as cost savings to the company. The consequences of this phenomena developing countries may experience an inflow of FDI during this stage.

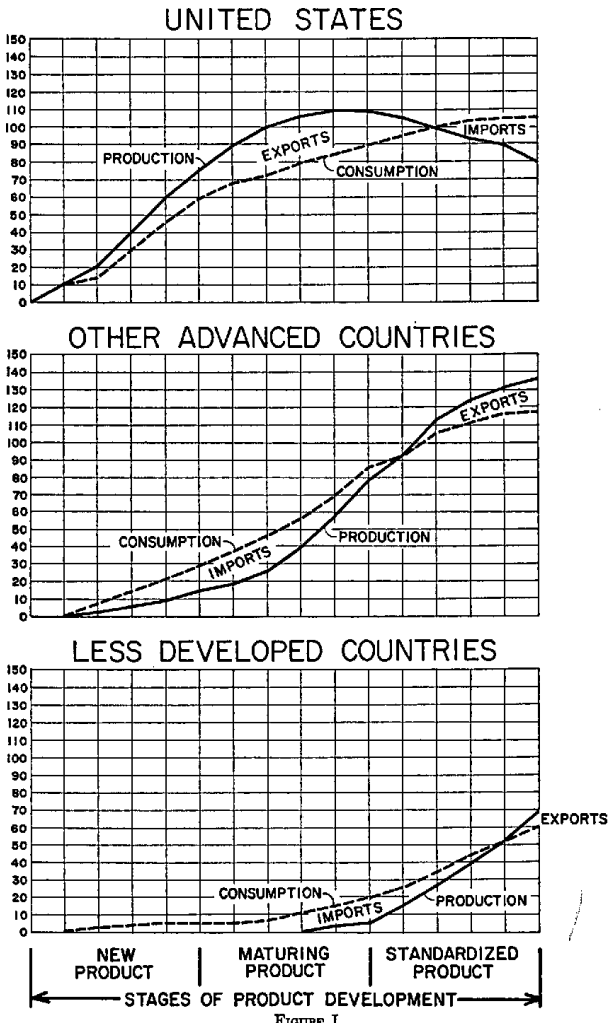


Figure 3: (Vernon, 1966)

Ownership, Location, and Internationalization. (OLI Model)

Developed by John H. Dunning in 1977 in the paper ***Trade, Location of Economic Activity and the MNE: A Search for an Eclectic Approach,*** The OLI Model has been one of the most influential in the field of international business. In the late 20th century, multinational firms started to play a bigger role in the global economy. Economists wanted to understand the strategies and motivation behind their international activities, Dunning´s work emerged during this context, providing a new framework beyond existing theories.

- **Eclectic paradigm:**
  The core of Dunning´s works was the development of the Eclectic Paradigm, in which, to explain the existence and the behavior of MNEs, he integrated various theories. The three main components of this framework are:

  Ownership

Location
Internationalization

According to Dunning, if we want to understand the activities of MNEs, we must consider the advantages stemming from ownership-specific factors, The location specific advantages, and the extent to which firms internalize transactions within their boundaries.

- **Ownership specific advantages:**
  Dunning believed MNEs have unique and specific advantages that are not available to competitors. This owner-specific advantages such as technology, brand recognition, or material expertise motivate firms to engage in foreign direct investment to leverage and protect their unique assets.

- **Location specific advantages:**
  Each foreign location possesses its own location-specific advantages and benefits to offer to an MNE. This could range from skilled labor, favorable market conditions, access to resources, or other factors that contribute to the competitiveness of the company in that specific location.

- **Internationalization:**
  The third element of the model is internationalization. It addresses the question of why firms choose to perform certain activities within boundaries of the company, rather than just doing it via transactions on the market. Dunning claims companies do these activities internally when the cost of coordinating transactions in the market is higher than the cost of internalizing them.

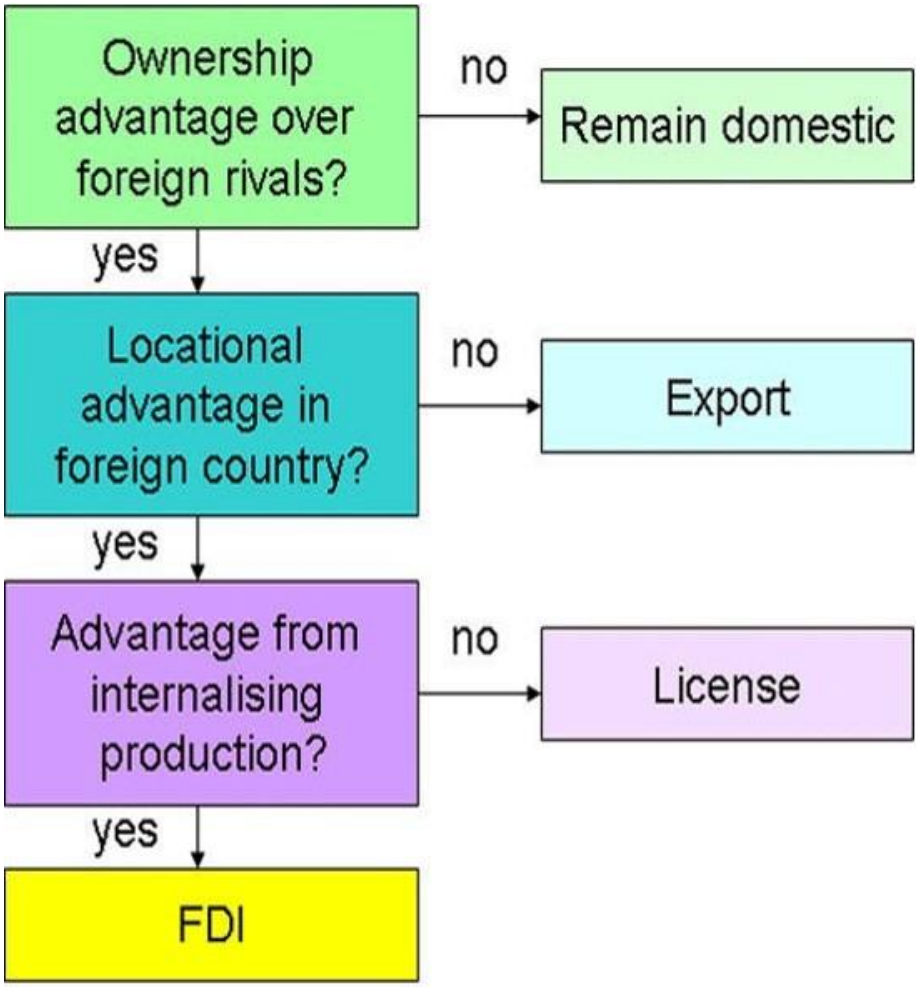


Figure 4: (de Bruin, 2016)

Chapter II

Understanding intercultural competence is essential navigating the complex and interconnected world, the world is now more globalize than ever, and especially since the development of new technology like the internet. The globalization brings inevitably the clash of many different cultures, therefore intercultural competences are an imperative that companies looking to internationalize must consider. At its core, intercultural is a comprehensive set of skills and qualities that enable individuals to effectively communicate and interact with people from diverse cultural backgrounds. Intercultural competence is not as simple as being aware of the difference cultures have; it involves the ability to appreciate, adapt, and deal with those differences in a way that both parties understand each other.

> *Studying culture without experiencing culture shock is like practicing swimming without experiencing water.*
>
> *(Hofstede, 1980)*

Effective communication stands as paramount for intercultural competence. It goes beyond linguistic capability, encompassing the ability to comprehend non-verbal communication, cultural nuances, and adapt to the way different cultures communicate. This is a key role avoiding misunderstanding, misinterpretation and potential conflicts that may occur when treating with other cultures.

Another crucial dimension is empathy. Understanding and the capacity to communicate and share the feelings from individuals from diverse cultural backgrounds. This empathetic understanding enables individuals to connect on a deeper level, closing gaps between cultural norms and values that a company may encounter expanding itself to a culturally different market.

> *People going from Southern Italy to the North say that they feel cold not only for the different climate, but for the less "warm" approach in relationships.*
>
> *(Hofstede, 1980)*

Openness to different cultural perspectives is a fundamental aspect of intercultural competence. This allows approaching new idea, beliefs, and practices without judgement, rather with curiosity. Openness encourages firms a willingness to learns from other cultures, expanding its worldview. It also involves recognition that cultural diversity adds value to personal and collective experiences, which may be beneficial to the company.

Adaptability is also a crucial element, making emphasis on the ability to adjust the behavior, communication, and expectations when dealing with diverse cultural contexts. Each culture has an approach to time, decision making, hierarchies, etc. These different dimensions were studied by the Duch psychologist Geert Hofstede, who developed a model to analyze cultures across the globe and their differences. Hofstede´s research is based on a study of employees from IBM and their conduct. He identified and analyzed different dimensions that can be used to compare and contrast different cultures. This model is developed in his book **CULTURE'S CONSEQUENCES: INTERNATIONAL DIFFERENCES IN WORK-RELATED VALUES.**

HOFSTEDE´S 6 CULTURAL DIMENSIONS:

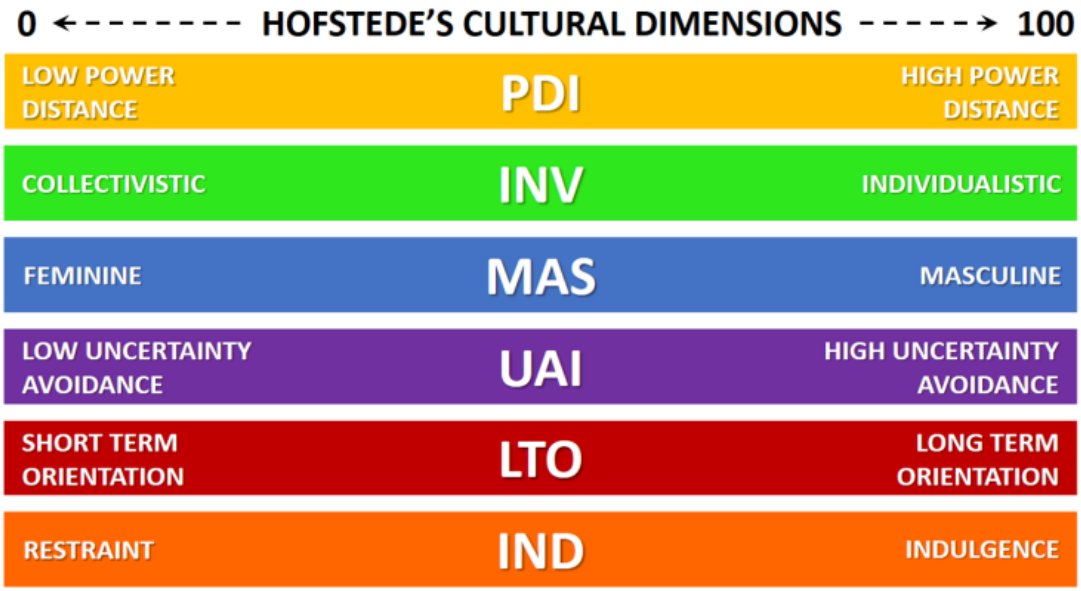


Figure 5: (de Bruin, Hofstede´s Cultural Dimensions, 2017)

1. *Power distance:*

The degree on which individuals accept and expect power to be distributed unequally.

Higher power distance means there is a greater acceptance of hierarchies and people may defer to authority figures.

Lower power distance means less emphasis in hierarchies and people question authority more often.

2. *Individualism:*

Individualism reflects the degree on which a culture fucuses more on individual goals, personal achievement, and autonomy, or on the group cohesion, collaboration, and the importance of the community.

3. *Masculinity:*

This dimension analyzes how the gender roles and values are distributed across the society.

Masculine societies focus more on competition, material success; while feminine societies put more emphasis in cooperation, modesty, and quality of life.

4. *Uncertainty avoidance:*

Uncertainty avoidance measures how comfortable are the individuals of a society with ambiguity and unknown outcomes.

Cultures with high uncertainty avoidance tend to minimize ambiguity by seeking structures and rules; low uncertainty cultures are more open to change and ambiguity.

5. *TIME PREFERENCE:*

THE TIME PREFERENCE DIMENSION, ALSO KNOWN AS LONG TERM ORIENTATION VS SHORT TERM ORIENTATION (LTO), EXAMINES HOW PEOPLE FROMA SOCIETY AND THE SOCIETY ITSELF VALUES LONG-TERM GOALS AGAINST SHORT-TERM GOALS.

LONG-TERM SOCIETIES FOCUS MORE IN THE FUTURE; SHORT-TERM CULTURES EMPHASIS ON SHORT TERM RESULTS, AND ARE MORE CONCERNED WITH THE PRESENT RATHER THAN THE FUTURE.

6. *INDULGENCE:*

THIS DIMENSION HAS BEEN ADDED RECENTLY. IT EXPLORES THE DEGREE TO WHICH A SOCIETY IS OPEN AND ALLOWS FOR FREE GRATIFICATION OF NATURAL HUMAN DESIRES TO ENJOY LIFE VERSUS MORE CONTROLLING AND RESTRICTIVE CULTURES.

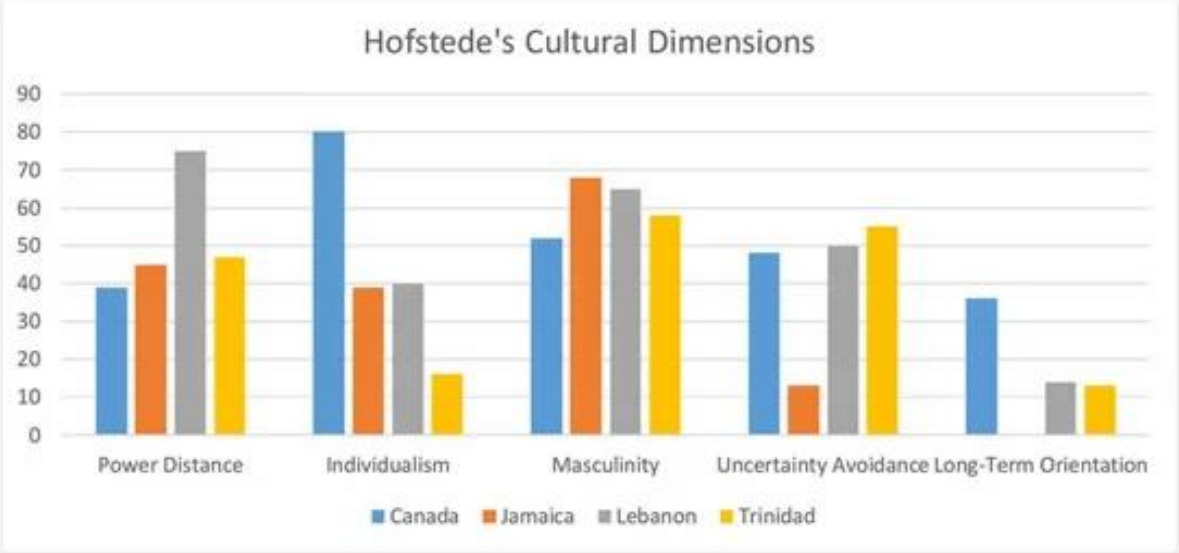


FIGURE 6: *(Bissessar, 2018)*

Developmental model of intercultural sensitivity &Intercultural Development Inventory.

Developmental Model of Intercultural sensitivity (DMIS):

In 1986 Dr. Milton J Bennett created the Center model of intercultural sensitivity, the DMSI model, a theoretical framework developed to describe and understand these stages through which individuals may progress in their internal cultural development. The model is commonly used in the field of intercultural communication and education to access and enhance individuals' capacity to engage effectively with cultural differences.

> *"The basic mechanism for internalizing (embodying) worldview is perception. Following Piaget, Vygotsky, and other developmentalists, children become more adaptive to their particular circumstances by elaborating perceptual categories of relevant things while leaving irrelevant things either unperceived or only vaguely categorized. For example, pasta is a relevant category for Italian kids, and many of them already know the shapes (e.g., penne or rigatoni) that go with different sauces. Pasta is not very relevant for American kids, and most of them can only use the undifferentiated category of "macaroni." Writ large, culture provides us with a set of these kind of figure/ground distinctions that allow us to co-construct with our compatriots the unique adaptive processes of our group…. As a result, otherness exists in a broad and vaguely defined perceptual category, like macaroni for pasta. Such a perceptual condition is inadequate for communicating effectively with cultural outsiders, since it lumps together people of different cultures inappropriately and precludes taking their unique perspectives in any meaningful way."*
>
> *(Bennet, Developmental Model of Intercultural Sensitity, 2017)*

The DMIS model consists of six stages. Each stage represents a different level of intercultural sensitivity:

1. Denial:

In the first stage of the DMS, Individuals The note a lack of awareness or recognition for differences between cultures. They may perceive their own cultural perspective as a more valid or normal way of seeing the world. The Nile is usually caused by a limited exposure to diverse cultures or a lack of cultural self-awareness. In this stage, people may resist to acknowledge, express skepticism, or even discomfort about the relevance of cultural differences.

2. Polarization:

As individuals progressed to the second stage, they begin to recognize cultural differences but often view them in a binary and polarized manner. She's marked by a mentality where people categorize others as either part of their own cultural group or as an outsider, falling in a mentality of "us versus them". Stereotypes and generalizations about the outsiders are commonly

seen in this stage. These phenomena of polarization can result from fear, insecurity, or aspire to protect one's own cultural identity.

3. Minimization:

In the mining incision stage, individuals emphasize the commonalities and similarities across cultures, seeking to minimize the importance of differences between them. While minimizing difference can be a positive step, it may also lead to a lack of appreciation for the unique contributions of each culture.

4. Acceptance:

In the fourth stage, individuals develop an increased awareness and appreciation of cultural differences without necessarily understanding them fully. They recognize the legitimacy of various cultural perspectives and are open to learning from them. Individuals at the acceptance stage can adapt their behavior to different cultural contexts, demonstrating a willingness to engage with diverse viewpoints and practices. This stage often involves a growing sense of cultural humility and curiosity.

5. Adaptation

Adaptation is correct raised by the ability to shift between cultural perspectives and modify one’s behavior to fit different cultural contexts. Individuals in this stage have developed a high degree of flexibility and cultural fluency enabling them to navigate various cultural environments with ease. They can code-switch effectively and are attuned to the expectations and norms of different cultural groups. Adaptation requires a deep understanding of one's own cultural identity as well as an appreciation for the diversity of others.

6. Integration:

The eighth stage of D MIS is integration, where individuals can synthesize and integrate diverse cultural perspectives into a coherent worldview. People at this stage exhibit a high level of intercultural competence, demonstrating an authentic understanding and appreciation of cultural differences. Integration involves a holistic perspective that goes beyond surface level behaviors and engages within underlying values and worldviews of different cultures. Individuals in this stage are comfortable with ambiguity and complexity, recognizing the interconnectedness of global cultures.

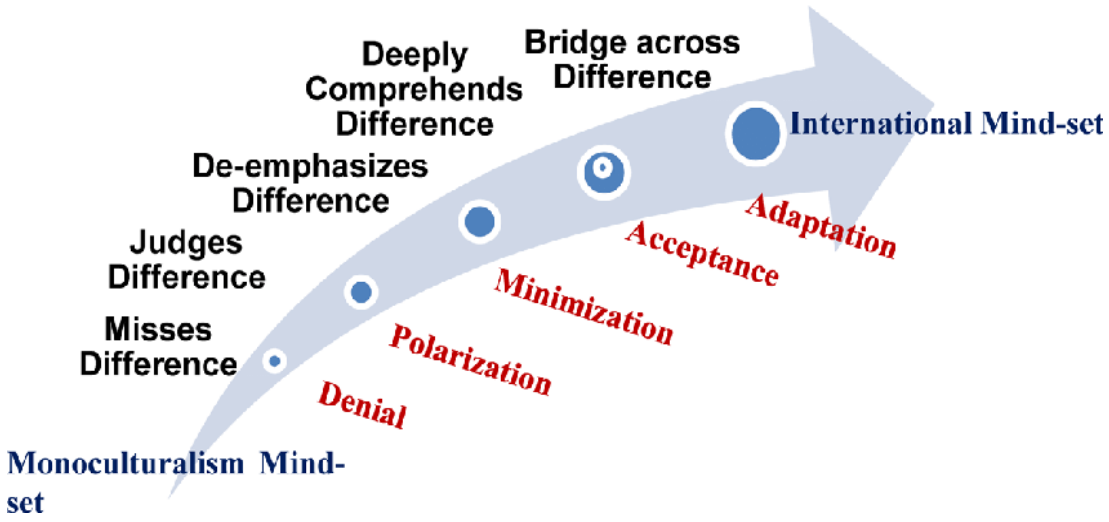


Figure 7: (Al-Thamari, Al-Zadjali, & Al-Mamari, 2020)

Intercultural Development Inventory:

The intercultural development inventory (IDI), By Dr. Mitchell R Hammer Dr. Milton J Bennett, is a way to operationalize the DMIS into a practical quantitative assessment tool. The IDI offers means of measuring an individuals or a group's level of intercultural competence unlike the DMIS which only provides a theoretical understanding of the intercultural sensitivity.

> *The Intercultural Development Inventory (IDI) is an assessment tool that measures the level of intercultural competence/sensitivity across a developmental continuum for individuals, groups, and organizations and represents a theoretically grounded measure of this capability toward observing cultural differences and commonalities and modifying behavior to cultural context.*
>
> *(Hammer M. R., 2011)*

Intercultural development inventory, as it is design, assesses intercultural competencies across the six stages outlined in the DMIS. The IDI is usually completed by the participants through a series of questions or scenarios that elicit responses reflecting their attitudes, behaviors, and perceptions in intercultural situations. The results are then analyzed to determine the individuals or group´s current stage of intercultural development.

Chapter III

Latin America is had the diverse and dynamic region spanning from the Rio Grande to Tierra del Fuego. It has long been crucial of economic activity, shaped by many factors ranging from its rich natural resources to the complexities of global geopolitics. As we analyze the trade dynamics within the vast and varied expanse, it becomes clear that Latin America stands at a crossroads, with many challenges and opportunities converging to define its role in the global commerce.

The economic landscape of Latin America is characterized by the relations of tradition and modernity, office stability and volatility. Historically, the continent has been a great contributor to the global trade ecosystem, with its economies in intricately linked to the ebb and flow of international markets. Having a lot of natural resources such as an extensive mineral wealth, huge oil reserves, positions Latin America as crucial supplier in the global marketplace. Yet, this very abundance is also one of its biggest problems since the region grapples with the inherent vulnerability associated with over reliance on commodity exports.

As a gateway to the Atlantic and Pacific Ocean, latin america has been cornerstone for many empires, the birth of nations, and the embellishment spirit of cultural diversity. With the beginning of the 21st century trade has become one of the key factors for connecting markets unfortunately answers, this has defined the economic fortunes of the region but has also been driving force behind political decisions and societal transformations.

During the late 20th century and early 21st century a new wave of globalization brought both opportunities and challenges for these region´s nations. Latin America actively engages in the global trade game, for me in agreements on partnerships transcending geographical boundaries. For example, with Chile, Columbia, Mexico, and Peru the Pacific alliance, a beacon of collaboration. This exemplifies the region's commitment to fostering economic integration and free trade. However, many challenges arrived as global economic fluctuations such as a roller coaster of commodity prices, expose the vulnerable vulnerability of nations in the region.

Regional and bilateral trade agreement have played I have significant role in shaping Latin America's economic narrative. With medical school as its most ambition of common market an individual nation negotiating with economic powerhouses like the United States, China, and the European Union, the region´s strategic positioning in the global economic chess board. These dynamics are very influential in the political and diplomatic landscape, not only in the economical transactions.

On the geopolitical aspect, Latin America is as diverse as the region itself. There are countries with historical ties with the United states, others that sympathizes more with economies like China, and all others that try to close the distance with the European markets. The rise of China's a major economic player has brought both prosperity and pitfalls, as different nations grapple with the implications of their dependence on commodity exports and the change entrance on the global economy.

In this tapestry woven off opportunities and challenges, it seems clear that as we unravel the layers of commodity dependency, quest for economic diversification, and geopolitical intricacies it becomes clear that Latin Americans journey in the global trade landscape is a narrative in constant flux, demanding I careful and the strategic examination to navigate the uncertainties and sees the promise of a future where economic prosperity is not just a goal but a reality.

Global trade relations:

The historical roots offline Americans engagement in global trade can be traced back to the 16th century, when the Spanish and Portuguese expeditions opened up roots and established connections with Europe on the northern half of the continent.

Since the beginning of the 19th century, after the independence of the Spanish and Portuguese provinces in Latin America nations underwent A paradigm shift in their approach to global trade. In the 20th century when the import substitution policies became more common in the region as the economies tried to industrialize themselves, these policies aimed to reduce the dependence on foreign goods and faster domestic industries. However, by the end of the 20th century a new wave of globalization emerged prompting Latin American countries to reevaluate their economic strategies and actively participate in the global marketplace rather than closing their economies with protectionist policies.

The issues related with commodity dependency have prompted a evaluation of economic strategies. Sell them American nations are increasingly diversifying their economies, investing in technology, and manufacturing, in an attempt to not be as dependent in the cyclical nature of the commodities markets.

Trade agreements:

A paramount driver of Latin Americans global trade strategy lies in the many trade agreements that the region has stablished. These agreements play a significant role facilitating the entry and the economic integration of these economies to the international markets.

The Pacific alliance:

Formed in 2011, stands for the regional collaboration and economic integration of its members: Chile, Colombia, Mexico, and Peru. The objective of this alliance is to eliminate tariffs and facilitate the movement of goods and services, making its members Luke as are attractive destinations 4 FDI. The Pacific alliance it's not just an economic bloc, it acts as a platform for enhancing competitiveness on the global stage, sharing best practices, and fostering innovation.

Objectives:

1. **Trade integration:**

-The primary goal of the Pacific alliance is to promote economic integration through the elimination of trade barriers and the facilitation of the movement of goods and services among member countries
-The alliance seeks to achieve deeper trade liberation and then existing agreements and organizations in the region

2. **Economic development:**
   -the member countries aim to foster economic development by enhancing competitiveness promoting innovation and encouraging investment
3. **Open regionalism:**
   -the Pacific alliance follows the principle of "open regionalism", which means that it is open to forming agreements with countries outside the region, if those agreements contribute to the goals of the alliance.

Mechanisms and initiatives:

1. **Trade Facilitation:**
   The civic alliance has eliminated tariffs on 92% of the goods traded among member countries and the goal is to reach 100% in the future. (Villareal, 2014)
2. **Market access:**
   The alliance seeks to create a larger market for its members by allowing for the free movement of goods, services, capital, and people among members countries.
3. **Integrated Stock Exchange:**
   The alliance is working towards the creation of an integrated stock exchange, which would facilitate capital flows and investment within the region.
4. **Entrepreneurship and innovation:**
   there are initiatives to promote entrepreneurship and innovation through cooperation in science, technology, and education.

Additional Aspects:

1. **Observer countries:**
   Several countries, both within and outside the region, have expressed interest in joining the alliance or have become observers. This includes countries like Australia, Canada, New Zealand, and Singapore.
2. **Social and Environmental Cooperation:**
   The civic alliance includes initiatives for social and environmental cooperation, recognizing the importance of sustainable development.
3. **Collaboration with Other Organizations:**
   The difficulty in collaborates with other international organizations and forums to strengthen its impact and influence.
4. **Challenges:**
   while the Pacific alliance has made significant progress, challenges such as geopolitical tensions, economic disparities among member countries, and internal political issues have been noted.

In summary, the Pacific alliance seaside dynamic and evolving regional integration initiative in Latin America, focused on economic development, trade liberation, and cooperation among its member countries. The success of the alliance depends on the effective implementation of its initiatives and the ability of member countries to address challenges and differences.

Mercosur:

Mercosur, whose members are Argentina, Brazil, Paraguay, and Uruguay, with Venezuela currently suspended, originally was conceived as a custom union to promote regional trade, but now is an economic bloc that faces internal challenges including disagreements among members countries. Nevertheless, it still plays a crucial role in trade politics within the region and with external partners.

Bilateral trade agreements also feature prominently in Latin Americans global trade landscape. Mexico, for instance, has comprehensive network of trade agreements, including the United States-Mexico-Canada Agreement (USMCA) and numerous agreements with Countries in Europe and Asia. These agreements not only open markets for Mexican exports, but also positions the country as a strategic partner in global supply chains.

Objectives:

1. **Trade integration:**
   The primary goal of the Pacific alliance is to promote economic integration through the elimination of trade barriers and the facilitation of the movement of goods and services among member countries.
2. **Common External Tariff (CET):**
   Medical school operates with a common external tariff, meaning that members countries apply the same tariffs to imports from non-member countries. This creates A unified economic space and helps prevent trade to diversion.
3. **Economic and Social Development:**
   Measure aims to promote economic and social development within its member countries by fostering cooperation in areas such as infrastructure, technology, and education.

Mechanisms and Initiatives:

1. **Trade Liberalization:**
   Because food has made efforts to reduce tariffs and other trade barriers among its member countries. The goal is to create a larger and more integrated market.
2. **Institutional Framework:**

Medical school has an institutional framework that includes decision making bodies, such as Common market Council and the Mercosur Parliament, to coordinate policies and address issues related to integration process.

3. **Social and Cultural Cooperation:**
   Good places importance on social and cultural cooperation, recognizing that regional integration goes beyond economic factors. There are initiatives to promote cultural exchange and social development.
4. **Political Cooperation:**
   Medical school seeks to coordinate political positions on regional and international issues among its member countries. This includes diplomatic efforts and joint statements on matters of common interest.

Challenges:

1. **Internal Differences:**
   Mercosur has faced challenges related to internal differences among its member countries, including economic disparities, political disagreements, and disputes over trade policies.
2. **Expansion and External Relations:**
   Expanding Mercosur and establishing external relations with other countries or regional blocks have been areas of discussion and contention.
3. **Trade and Economic Issues:**
   Economic challenges, such as inflation, economic instability, and protectionist policies in some member countries, have also been sources of concern.

Future Directions:

1. **External Relations:**
   Mercosur has engaged in negotiations with external partners, both regionally and globally, to expand its trade relations and influences.
2. **Adaptation to Changing Realities:**
   Mercosur is continuously adapting to changing economic and geopolitical realities, seeking to address internal challenges and strengthen its role in the global economy.

To sum up, Mercosur is a customs union in South America with the goal of fostering economic integration and cooperation among its member countries. While it has made progress in trade liberalization and coordination, internal challenges and evolving global dynamics continue to shape the trajectory of the organization.

Geopolitical considerations:

Geopolitical dynamics are a layer of complexity to Latin America's global trade relations. Historically tied to the United States through proximity and shared cultural affinities, the region has navigated that delicate balance in its trade relationships. The economic courtship with China, marked by the dragon´s insatiable appetite for commodities, has introduced a new variable to the geopolitical equation.

The rise of China's a major economic power has rephased the dynamics of global trade, and Latin America has been a significant beneficiary of this shift. China's Belt and Road Initiative (BRI) has seen substantial investment in infrastructure projects across the region while these investments have created opportunities of economic development, they have also raised concerns about debt sustainability and the geopolitical implications of deepening ties with China.

Historical ties with the United States come up particularly through the trade agreements like the North American Free Trade Agreement (NAFTA) and its successor the USMCA, continue to influence Latin American trade dynamics. The renegotiation of these agreements has prompted a reassessment of trade relations and a focus on issues such as Labor Standards, Environmental Protection, and intellectual property rights.

The Rise of China:

Chinas economic send has been defining factor in Latin America's recent trade dynamics. The Dragons insatiability for demand of commodities has positioned it has a paramount trade partner for the region. Nations like Brazil and Chile have seen their exports particularly in agricultural and mineral products search in response to China´s voracious appetite.

While this economic symbiosis has brought prosperity to certain sectors, it has also exposed Latin American nations to risk associated with commodity dependence. The volatility of global commodity prices, coupled with concerns about environmental and social impact of the of resources extraction, requires A nuanced approach to managing the relationship with China, not mentioning the tensions that it would cause with the United States.

Chinese investments in Latin America infrastructure projects, as part of the BRI, has been met with a mix of enthusiasm and caution. On one hand, these investments have the potential to catalyze economic development, improve connectivity, and create jobs. On the other hand, they raise questions about debt sustainability environmental impact and the geopolitical influence exerted by a major external player I see it is China.

Conclusion: Navigating the Seas of internationalization in Latin America:

in the intricate dance of global trade relations, Latin America finds itself add a people told juncture where the imperative of internationalisation emerges as a transformative force. These comprehensive exploration underscores the multifaceted nature of this journey, examining these torical foundations, the complexities of commodity dependence, the role of trade agreements, and the strategic considerations in navigating geopolitical landscapes. As Latin American nations chord their course towards internationalization, several people of themes emerge shaping a narrative of economic resilience, sustainability, and strategic global engagement.

Economic diversification as the catalyst for internationalization:

The cornerstone of successful internationalization in Latin America lies in the deliberate pursuit of economic diversification. Historically tethered to fortunes of commodities, nations in the region are recognizing the need to brother their economic base. The internationalization journey necessitates investments in technology, innovation, and services, transforming the economic landscape and fostering resilience against market volatility.

By embracing sectors that leverage digital transformation, knowledge-based industries, and suitable practices, Latin American nations can position themselves as dynamic contributors to the global economy. The strategic diversification of the economic portfolio not only insulates countries that cyclical nature of commodity markets but also establishes a foundation for long term competitiveness on the internal stage.

Sustainable practices as a pillar of international engagement:

the internationalization of Latin America cannot be divorced from a commitment to sustainable practices. The region, blessed with unparalleled biodiversity and natural resources, possesses a unique opportunity to leverage sustainability as a competitive advantage. Responsible and ethical trade practices, including sustainable agriculture, eco-friendly manufacturing, and socially conscious mining, not only align with global expectations but also contribute to the preservation of the regions invaluable ecosystems.

As the world gravitates toward environmentally conscious consumption, Latin America's adherence to sustainable practices becomes a powerful draw for international partners. This alignment with global sustainability goals positions the region as not just an economic contributor but also our responsible steward of the planet.

Strategic alliances and global partnership:

at the heart of the internationalization narrative lies the cultivation of strategic alliances and global partnerships. Trade agreements, both regional and bilateral, serve as the bedrock upon which these alliances are built the pacific alliance, Mercosur, and bilateral agreements with economic powerhouses such as the United States, China, and the European Union exemplifies Latin America's commitment to fostering economic integration on a global scale.

These alliances transcend merits economic transaction, Foster and diplomatic ties, cultural exchanges, and collaborative initiatives. In the pursuit of internationalization, Latin American nations aimed not only to access international markets but also to cultivate enduring relationship that transcend geopolitical boundaries. This holistic approach to global engagement positions the region as a collaborative player in the international community.

Geopolitical agility: navigating the complexities of global dynamics:

The internationalization journey necessitates a keen understanding and adept navigation of geopolitical currents. Latin America, historically connected to the United States and grappling with the transformative rise of China, must exercise diplomatic agility in safeguarding national interests while embracing the benefits of globalization.

China's belt and road initiative, with its substantial investment in Latin America infrastructure projects, presents opportunities for economic development. Yet, careful oversight is essential to ensure sustainability and mutual benefit. Similarly, relations with the United States demand a nuanced approach that leverages historical connection while acknowledging the evolving nature of global economic dynamics.

Internationalization imperative:

Economic diversification, sustainability practices, strategic alliances, and geopolitical agility emerge as the guiding principles of Latin America's internationalization narrative. The journey ahead demands proactive and collaborative approach to global dynamics, fostering an environment where Latin American nations do not only adapt to but actively shape the forces defining the global trade landscape in doing so, the region not only positions itself as a significant player but also emerges as a beacon of resilience, innovation, and responsible global citizenship. Internationalization is not merely a strategy; is the story of Latin America's ascent to a central role in the interconnected and interdependent world of international business and international trade.

Chapter IV

In this chapter we are going to analyze how it has become multinational company present in countries from all the world, focusing on the example of Chile.

Ferrovial group stands as a global leader in infrastructure development, creating solutions that redefine the way we connect and interact with our environment. Established in 1952 in Spain, Ferrovial has evolved into a diversified and innovative company with a strong commitment to shaping the future of sustainable infrastructure.

At the core of previous mission is to believe that infrastructure should not only meet today's needs but should also be designed to endure and adapt to the challenges of tomorrow. The company operates across a wide spectrum of sectors, including

construction, water, transportation, and services, consistently delivering cutting edge solutions that help and contribute to the well-being of societies around the world.

One of Ferrovial's most notable strengths is its emphasis on sustainability. The firm recognizes the crucial role infrastructure plays in addressing global challenges such as climate change, resource scarcity, and urbanization. Through a combination of environmental stewardship, social responsibility, and technological innovation, Ferrovial is actively contributing to the development of sustainable and resilient communities.

Federalist portfolio showcases a range of iconic projects, from innovative transportation systems and energy efficient buildings to water management solutions that prioritize conservation. The company's commitment to excellence is underscored by a cooperation all approach, fostering partnerships with local communities, businesses, and governments to create lasting positive impacts.

As a forward-thinking organization, eat embraces digital transformation, leveraging technology to improve the efficiency and effectiveness of its projects. This commitment to innovation positions for royal at the forefront of the rapidly evolving infrastructure landscape, ensuring that the solutions it provides are not only state-of-the-art but also adaptable to the dynamic needs of society.

To sum up, federal real group is more than an infrastructure company; it is a driving force behind progress, connectivity, and of course sustainability. With a rich history, a global footprint, and an unwavering commitment to building a better future, Ferrovial Group continues to shape the world by connecting people and places in a way that is both responsible and visionary.

In this chapter we are going to analyze how it has become multinational company present in countries from all the world, focusing on the example of Chile.

Ferrovial was founded in Spain during Franco´s dictatorship, in the era known as the Autarky (1939-1959), during this two decades, international business was extremely limited, and most of the multinationals that operated in Spain were either State-owned or had close relations with the State. Ferrovial´s first projects were the renovation of Renfe´s rail tracks.

Ferrovial was founded in 1952, but it was not until 1954 that it begins its path in the international business landscape, obtaining its first foreign contract, a railroad project in Venezuela. *At that time, exports of goods and services accounted for less than 10% of Spain's GDP*. (Meirás, 2014). After that first project in 1954, began its journey to become one of the biggest multinational companies in the world.

In the case of Chile, we can see how the firm has been present in Chile for almost thirty years as today. The company´s sectors, such us infrastructure and construction, need a significant amount of starting capital, which leaves the projects on the hands of just a few possible companies that the Chilean State in this case, gives licenses to. According to the finding in Chapter I, Ferrovial Group´s entry-mode strategy would consist in licensing, and in activities as mining, wholly owned subsidiaries.

Ferrovial has absorbed and integrated as subsidiaries many existing firms in Chile, an example of this would be the acquisition of Transchile,

> *Ferrovial ha alcanzado un acuerdo para adquirir la sociedad Transchile Charrúa Transmisión, S.A. (Transchile) a las compañías brasileñas Alupar y Companhia Energetica de Minas Gerais. Transchile es propietaria de una línea de transmisión de 204 kilómetros entre las subestaciones de Charrúa y Cautín, situadas en el sur del país. La adquisición supondrá, una vez financiada, una inversión de 72 millones de dólares estadounidenses (64 millones de euros). Con esta operación, que se hará efectiva en los próximos meses, Ferrovial entra en el mercado de transmisión eléctrica en Chile.*
>
> *(Ferrovial S.A., 2022a)*

And has got Licenses from the government such as those for the Santiago de Chile´s Metro,

> *Ferrovial has been operating in Chile since 1995, in the Toll Roads, Services, Construction and Airports businesses. Ferrovial Agroman played a leading role in building Santiago Metro line 6, which was inaugurated in December 2017: it built 3,000 meters of tunnel and seven of the ten stations. It is currently building the Universidad de Chile station, on line 3, and new accesses to the Tobalaba station, on line 4. The Services division works with the mining industry through subsidiary Steel Ferrovial Servicios.*
>
> *(Ferrovial S.A., 2022).*

Conclusions:

According to our research we can conclude that internationalization of firms is a natural phenomenon that occurs with end globalization. However, firms must have on the strategy to enter in the new market, this is strategy is based on the research done by the company about the many factors that can impact the process of expansion.

In Chapter One we have talked about a few strategies such as:

- The Uppsala models.
- The International Product Life Cycle model (IPLC)
- Ownership, Location, and Internationalization model (OLI Model)

In Chapter II we have explained the importance of intercultural competence. Introducing the field of a study with hofstede's cultural forces:

- Power Distances

- Individualism
- Masculinity
- Uncertainty avoidance
- Time preference
- Indulgence

We also explained and contrast the Developmental model of intercultural sensitivity (DMIS) and the intercultural development inventory model (IDI), explaining how they complete each other being the DMIS the theoretical framework, and the IDI the practical measurements.

Chapter III consisted on an analysis of Latin America; where we analyzed the trade, explaining the trade agreements and economic blocks in the region; the geopolitical context of the continent, showing the change that China´s rise may cars in these nations diplomatic ties with the United States and Europe; And how the internationalization of firms is an imperative for these nations, as they rely excessively in commodities, a market that is very unstable prize wise.

Lastly in Chapter IV we analyzed the practical case of Ferrovial group as a multinational firm in the internationalization process, specifically in the Chilean market. How being a powerful multinational company allows it to entry the market with wholly owned subsidiaries and getting licenses from the government to exploit some resources as the mining industry and Santiago de Chile´s metro.

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